

ACME FINTECH

BIAS TESTING METHODOLOGY

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1. PURPOSE

This document defines the methodology for testing the Loan AI system for bias and disparate impact across protected attributes.

2. SCOPE

Testing covers the following protected attributes:

- Gender (binary classification: Male, Female)
- Age (categorized: 18-25, 26-45, 46-65, 66+)
- Ethnicity (where data is collected with consent)

3. METRICS

We use the following fairness metrics:

- Disparate Impact Ratio (target ≥ 0.80)
- Demographic Parity Difference (target ≤ 0.05)
- Equalized Odds (target ≤ 0.05)

4. CADENCE

Testing is performed quarterly on production data.

5. REMEDIATION

When a metric falls below threshold, the AI Governance Committee reviews and decides on remediation action.

Approved by: [signed]

Date: 15-Feb-2026